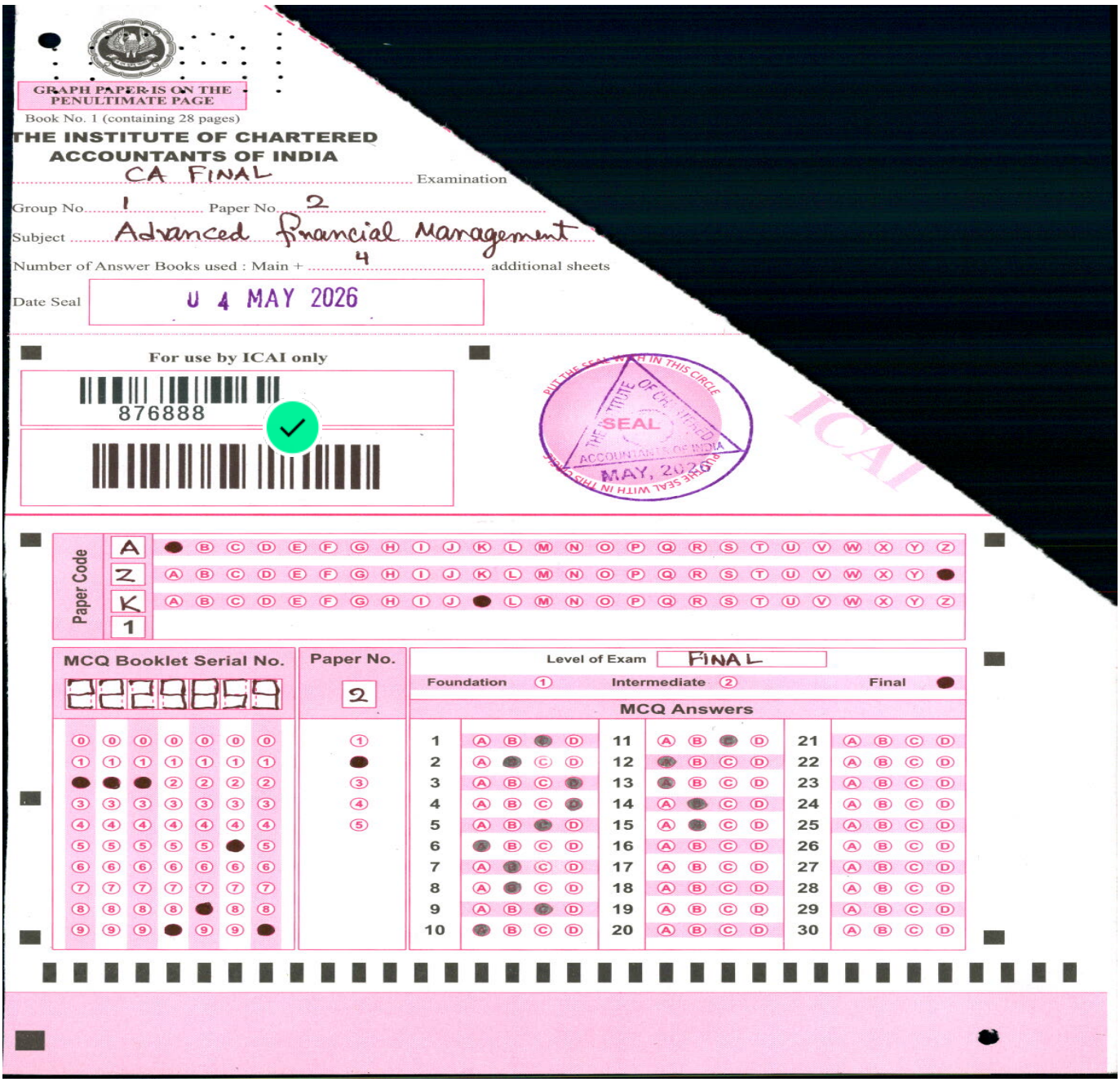
The Institute of Chartered Accountants of India

Code: FN2AF876888 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 51



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Book No. 1 (containing 28 pages)

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA

CA FINAL Examination

Group No. 1 Paper No. 2

Subject Advanced Financial Management

Number of Answer Books used : Main + 4 additional sheets

Date Seal 04 MAY 2026

For use by ICAI only

876888

SEAL MAY, 2026

Paper Code: A Z K 1

MCQ Booklet Serial No. 2229859

Paper No. 2

Level of Exam FINAL

Foundation (1) Intermediate (2) Final ●

MCQ Answers

1	D	11	C	21	C
2	B	12	C	22	C
3	C	13	C	23	C
4	C	14	B	24	C
5	C	15	B	25	C
6	A	16	C	26	C
7	B	17	C	27	C
8	B	18	C	28	C
9	C	19	C	29	C
10	A	20	C	30	C

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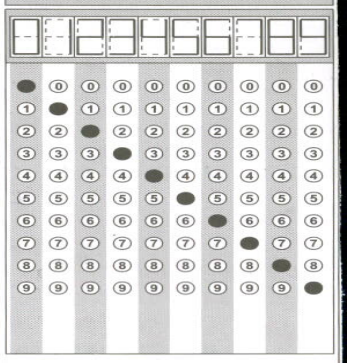
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Illustration for Filling the MCQ Booklet Serial No.



TIONS TO THE CANDIDATE FOR FILLING THE **MCQ ANSWER FIELDS**

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ken the correct MCQ Booklet Serial No. as printed on your question booklet which will be taken as final for evaluation.

y candidate fills in this information wrongly, Institute will not take any responsibility for rectifying the mistake.

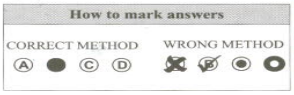
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ou want to change your Answer, erase the darkened circle completely and make a fresh mark.

Please do NOT make any stray marks on the OMR cover page.

6. Rough work must NOT be done on the OMR cover page.

7. Mark your answer only in the appropriate space against the number corresponding to the question.



Q. No.	To be ticked ✓ by the candidate against the Questions answered (Descriptive Type)		
1		8	
2		9	
3		10	
4		11	
5		12	
6		13	
7		14	
Total		Total	

03

Answer 2a

Security		X	Y
β_1	(A)	1.2	0.8
R_p for F1	(B)	4%	4%
β_2	(C)	0.5	1.4
R_p for F2	(D)	5%	5%
Rf	(E)	6%	6%
AR		14%	16%

(i) **Arbitrage Pricing Theory Model**

Return = $Rf + \beta_1 \times Rp_1 + \beta_2 \times Rp_2$

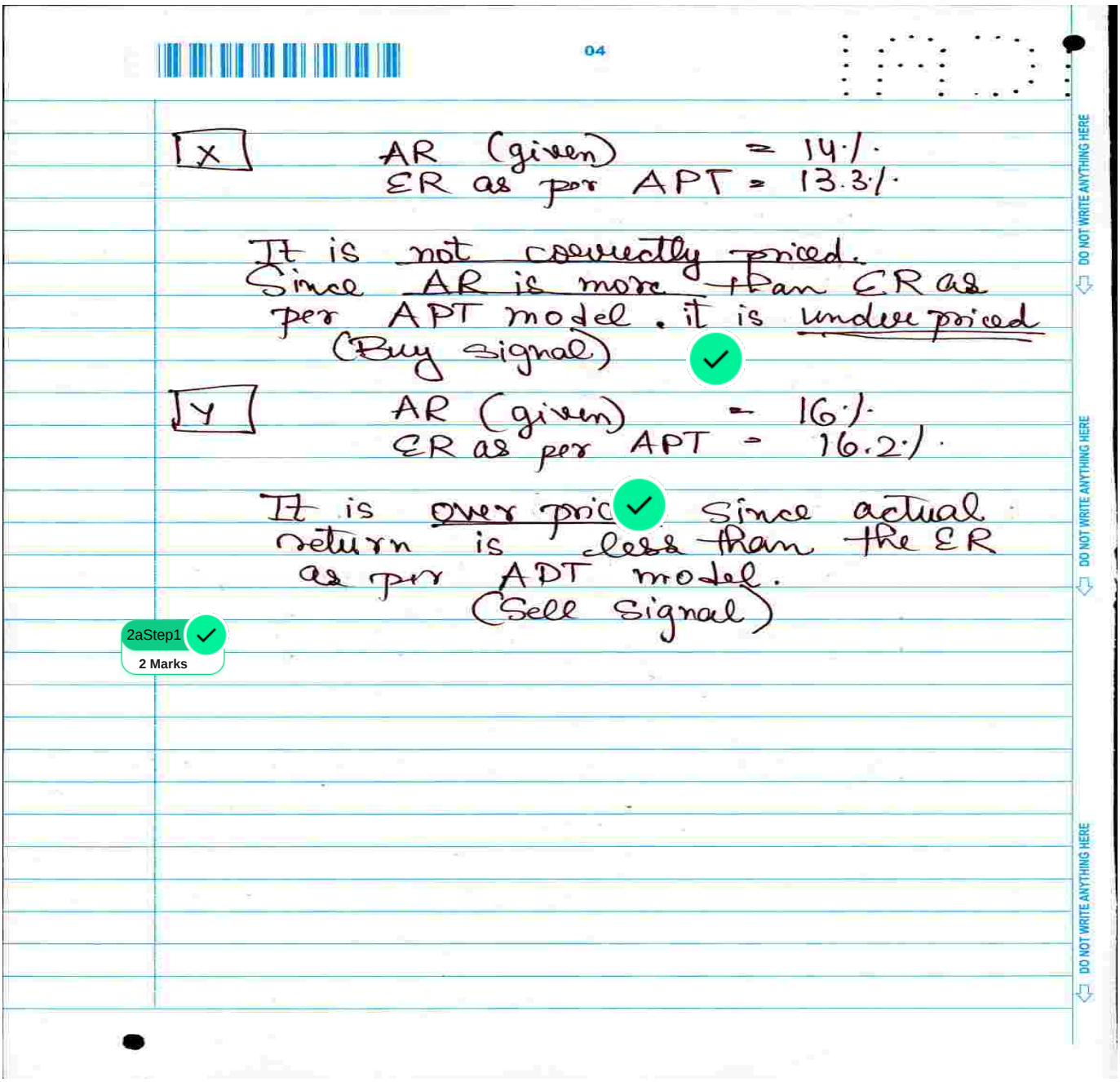
[X] ⇒ $6 + (1.2 \times 4) + (0.5 \times 5\%)$

= **13.3%** ✓

[Y] ⇒ $6 + (0.8 \times 4) + (1.4 \times 5)$

= **16.2%** ✓

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04

[X] AR (given) = 14%.
ER as per APT = 13.3%.

It is not correctly priced.
Since AR is more than ER as per APT model. it is underpriced
(Buy signal)

[Y] AR (given) = 16%.
ER as per APT = 16.2%.

It is over pric Since actual return is less than the ER as per APT model.
(Sell signal)

2aStep1
2 Marks

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05

(ii) Amount available = ₹1,00,000

Security
X = Long (A)
Y = Short (B)

Let Weight of Security X is m
" " " Y is -n

$(1.2 \times m) + (-n \times 0.8) = 1.4$

$1.2m - 0.8n = 1.4$ —(1)

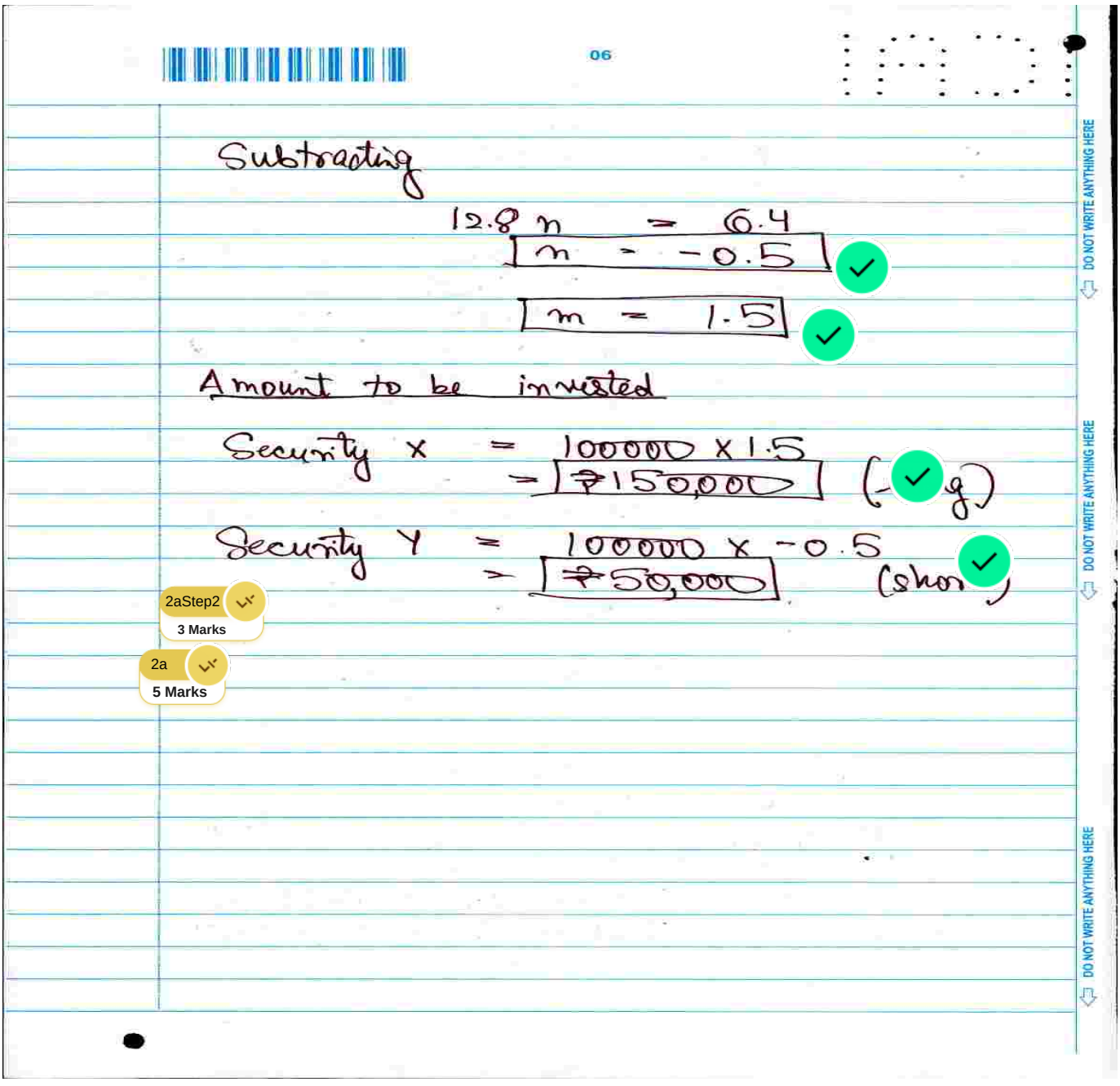
$(0.5m) + (-n \times 1.4) = 0.05$

$0.5m - 1.4n = 0.07$ —(2)

Solving (1) & (2)

Multiply (1) × 5 & (2) × 12

$6m - 4n = 7$
$6m - 16.8n = 0.6$



06

Subtracting

$12.8n = 6.4$

$n = -0.5$ ✓

$m = 1.5$ ✓

Amount to be invested

Security X = 100000 × 1.5

= ₹150,000 (-2g) ✓

Security Y = 100000 × -0.5

= ₹50,000 (short) ✓

2aStep2 ↗ 3 Marks

2a ↗ 5 Marks

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07

Answer 2b

CMP = 2000
t = 3 months
Contract Size = 100
Rf = 6%.

Expected future price = $2000 \times \left(\frac{0.06}{12} \times 3\right)$
= 2030

Option A → ITM (1920 < 2000)

Intrinsic value → 2030 - 1920
= 110
Premium = 130
Time value = 20

B → ATM (2000 = 2000)

Intrinsic value → 2030 - 2000
= 30
Time Value = 55
Premium = 85

C → OTM
Premium = 45
Intrinsic value = 2030 - 2080 = -
Time value = 45

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08

D → OTM
Premium = 40
Intrinsic value = –
Time value = 40

E → ATM
Premium = 95
Intrinsic value = –
Time value = 95

F → ITM
Premium = 155
Intrinsic value = 2080 – 2030
= 50
Time value = 105

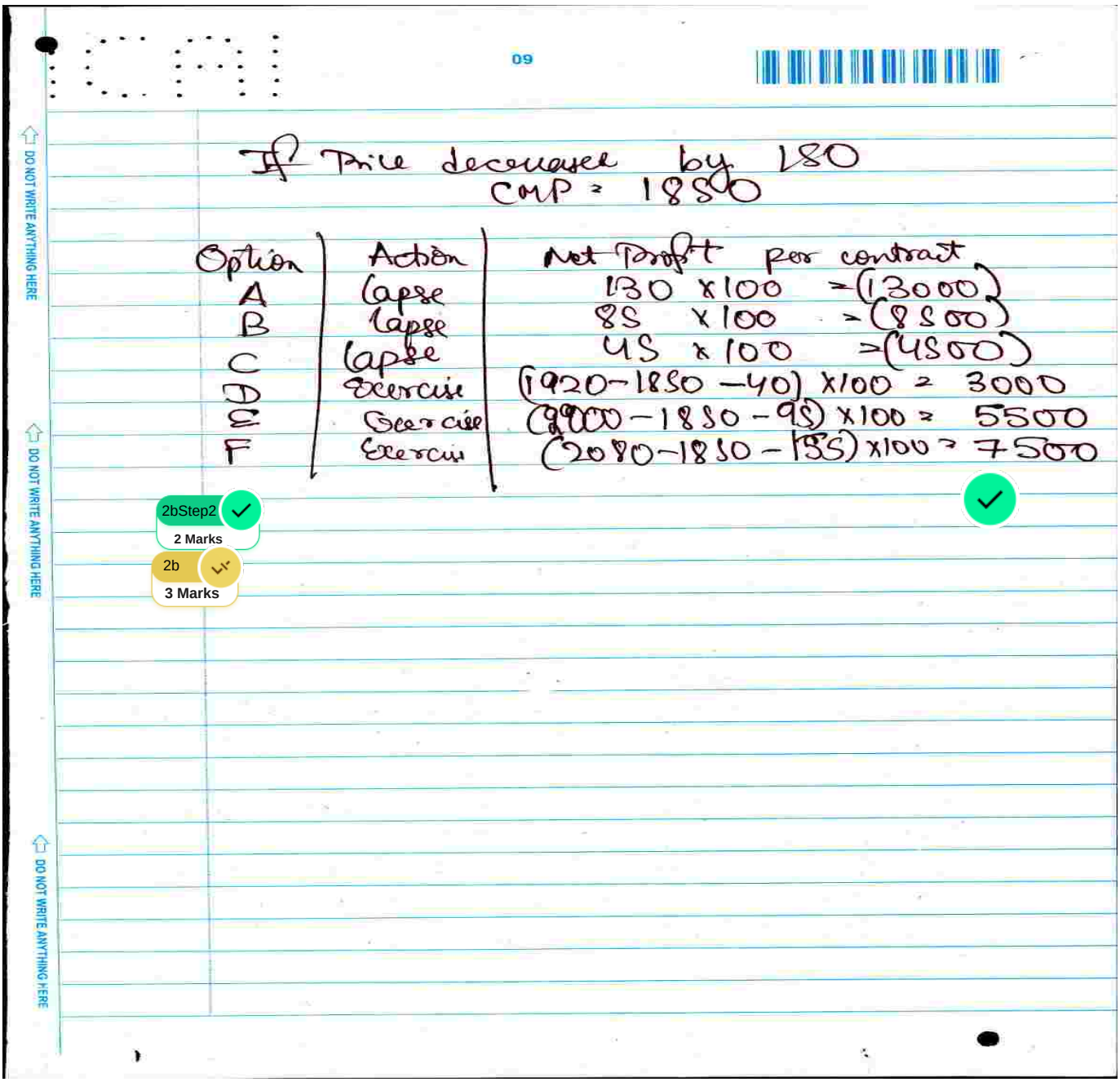
2bStep1
1 Marks

(ii) If Price increase by 150 ⇒ CMP = 2150

Option	Action	Net Profit per contract
A	Exercise	(2150 – 1920 – 130) × 100 = 10000
B	Exercise	(2150 – 2000 – 85) × 100 = 6500
C	Exercise	(2150 – 2080 – 45) × 100 = 2500
D	Lapse	40 × 100 = (4000)
E	Lapse	95 × 100 = (9500)
F	Lapse	155 × 100 = (15500)

( ) depicts loss

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09

If Price decreases by 180
CMP = 1850

Option	Action	Net Profit per contract
A	Lapse	130 x100 = (13000)
B	Lapse	85 x100 = (8500)
C	Lapse	45 x100 = (4500)
D	Exercise	(1920-1850-40) x100 = 3000
E	Exercise	(9000-1850-95) x100 = 5500
F	Exercise	(2080-1850-155) x100 = 7500

2bStep2 ✓ 2 Marks
2b ✓ 3 Marks

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10

Answer 2C

(i) False

In early stage start up, valuation can't be primarily based on discounted cash flow using stable historical earnings because there are no earnings or losses in the early stages.

Therefore other methods are used to value the startups in early stage.

(ii) True

Venture capital financing typically involves staged funding to reduce agency problems & mitigate investment risk

There are various stages for startup finance through VC financing like Seed money, Startup, Stage I, II, III, IV so that appropriate mix & return with risk can be earned.

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(iii) True

Bootstrapping means using own funds or through internal financing by business revenue.
It is limited in nature. Therefore, limited growth due to capital constraints but it reduces dilution risk.

(iv) False

~~Angle~~ Angel Investors are generally family & friends with limited capital who seeds the early startup.

They invest in startups at early staged when the project is uncertain.

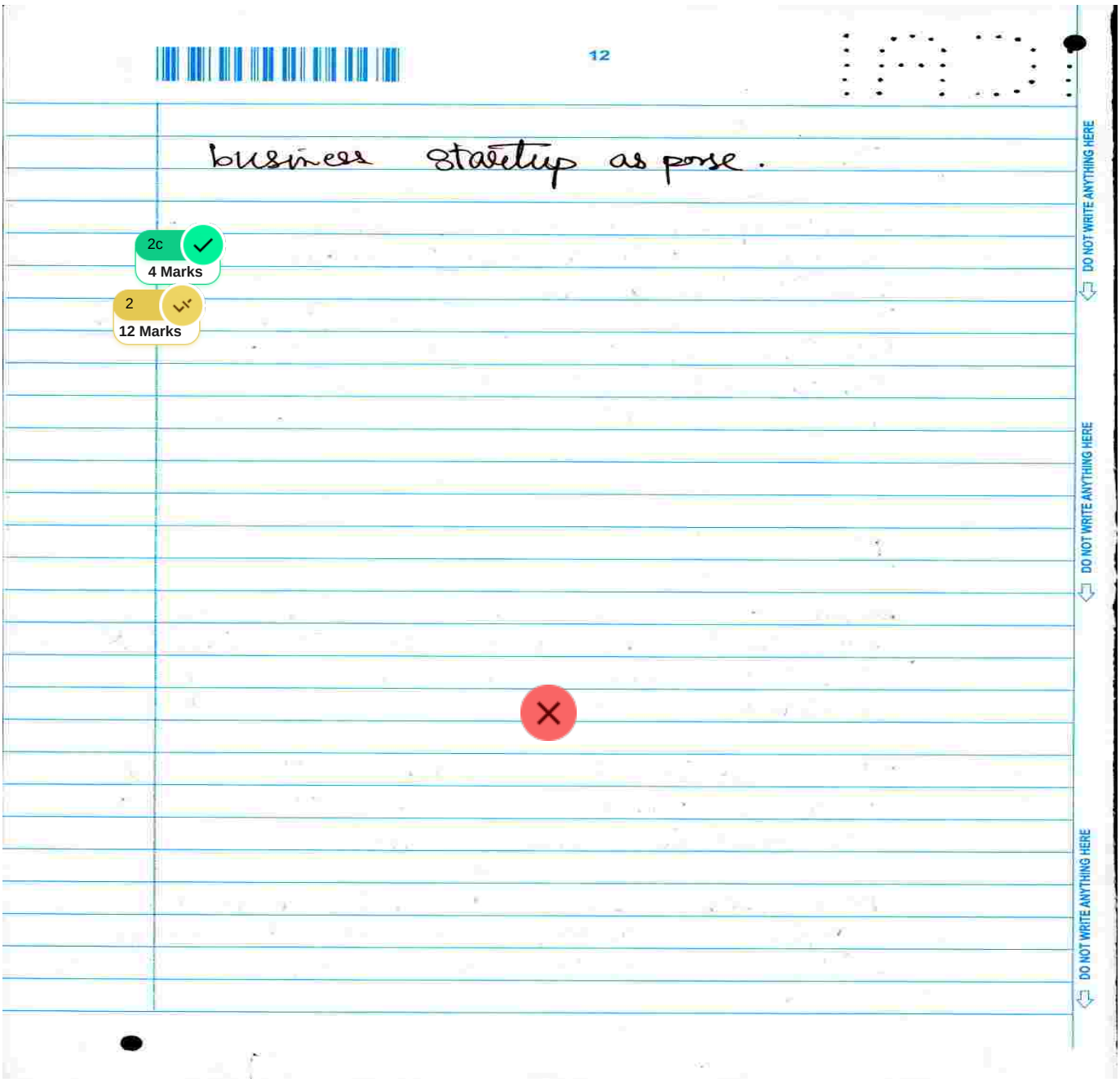
2cStep1
4 Marks

Moreover, they do not demand stronger control rights because they invest in the person not the

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13

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Answer 3b

Dividend plan

Amt Invested = 12,00,000 × 0.6
= 7,20,000

Opening NAV = ₹48

Amount available after entry load = 720000 × 0.98
= 7,05,600

Units = 705600/48 = 14,700

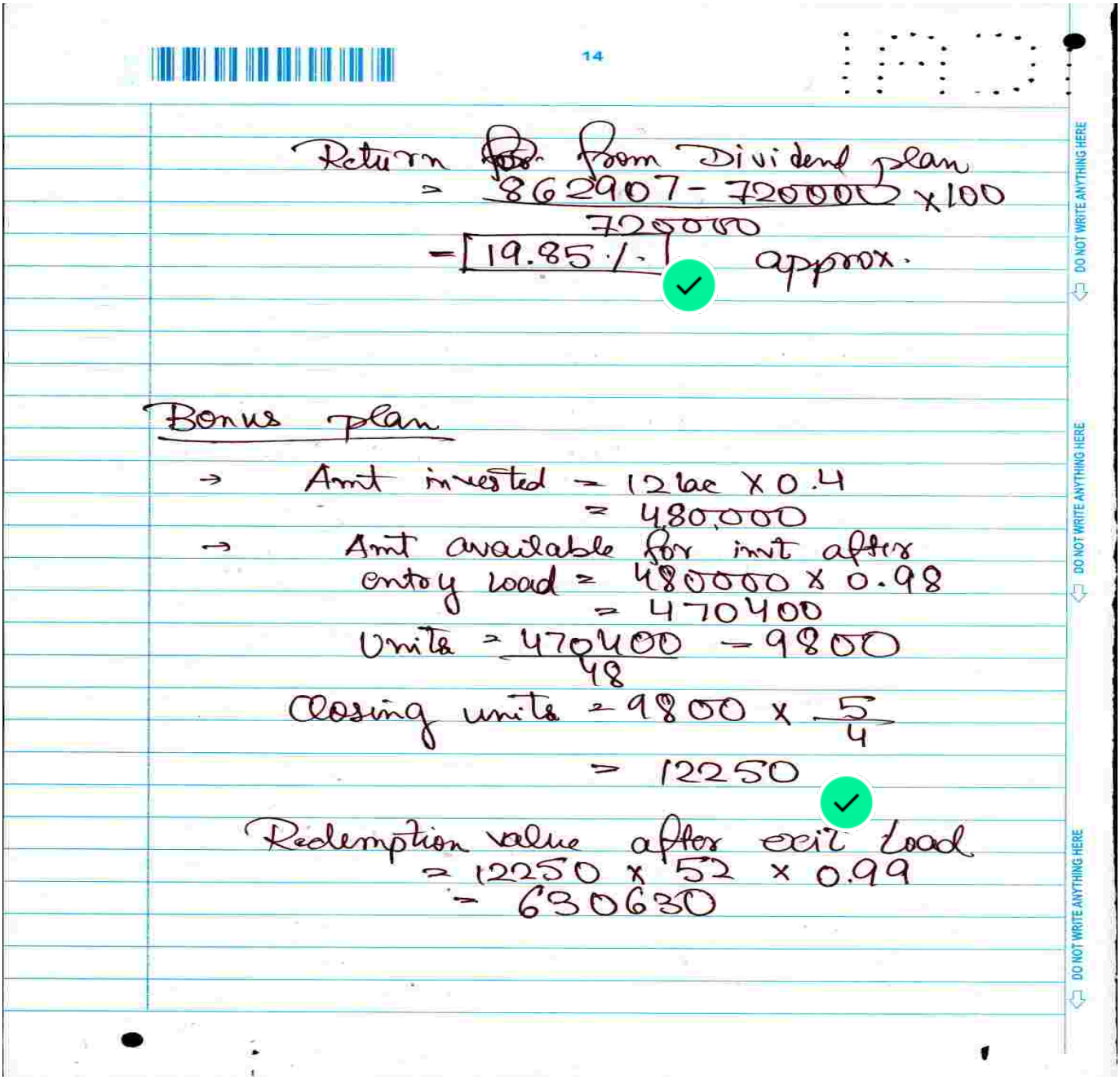
Dividend recd. = 5 × 14700
= ₹73500

Reinvested units = 73500/51 = 1441.18

Total units = 16141.18

Closing value = 16141.18 × 54
= ₹871623.72

Redemption value = 871623.72 × 0.99
= ₹862907 approx.



14

Return from Dividend plan
$= \frac{862907 - 720000}{720000} \times 100$
$= 19.85\%$ approx.

Bonus plan

→ Amt invested = 12 lac × 0.4
= 480,000

→ Amt available for invt after entry load = 480000 × 0.98
= 470400

Units = $\frac{470400}{48} - 9800$

Closing units = $9800 \times \frac{5}{4}$
= 12250

Redemption value after exit load
= 12250 × 52 × 0.99
= 630630

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15

Return from ~~Dividend~~ Bonus plan

$$= \frac{630630 - 480000}{480000} \times 100$$

$$= [31.38\%]$$

3bStep1 ✓
4 Marks

Total Return from the Investment

$$= \frac{862907 + 630630 - 1200000}{1200,000}$$

$$= [24.46\%]$$

Since bonus plan has higher return as compared to dividend plan, Bonus plan provides higher effective return

3b ✓
4 Marks

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16

Answer 3c

Transfer of NPA through Securitization improves balance sheet health

→ The above statement is correctly said.

a) The reason being the Securitization is off balance sheet financing

b) It reduces the borrowing cost of the originators of the process.

c) It helps in improving the financial ratios of the originator

d) It helps the entity to focus more on the areas in which the entity is Specialized

Therefore, considering the above advantages the Securitization process possess, the statement correct

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It involves regulatory & valuation challenges

Since there are ineffective foreclosure laws, in case of default, the Securitization process suffers. The legal title over the security is in dispute in such cases.

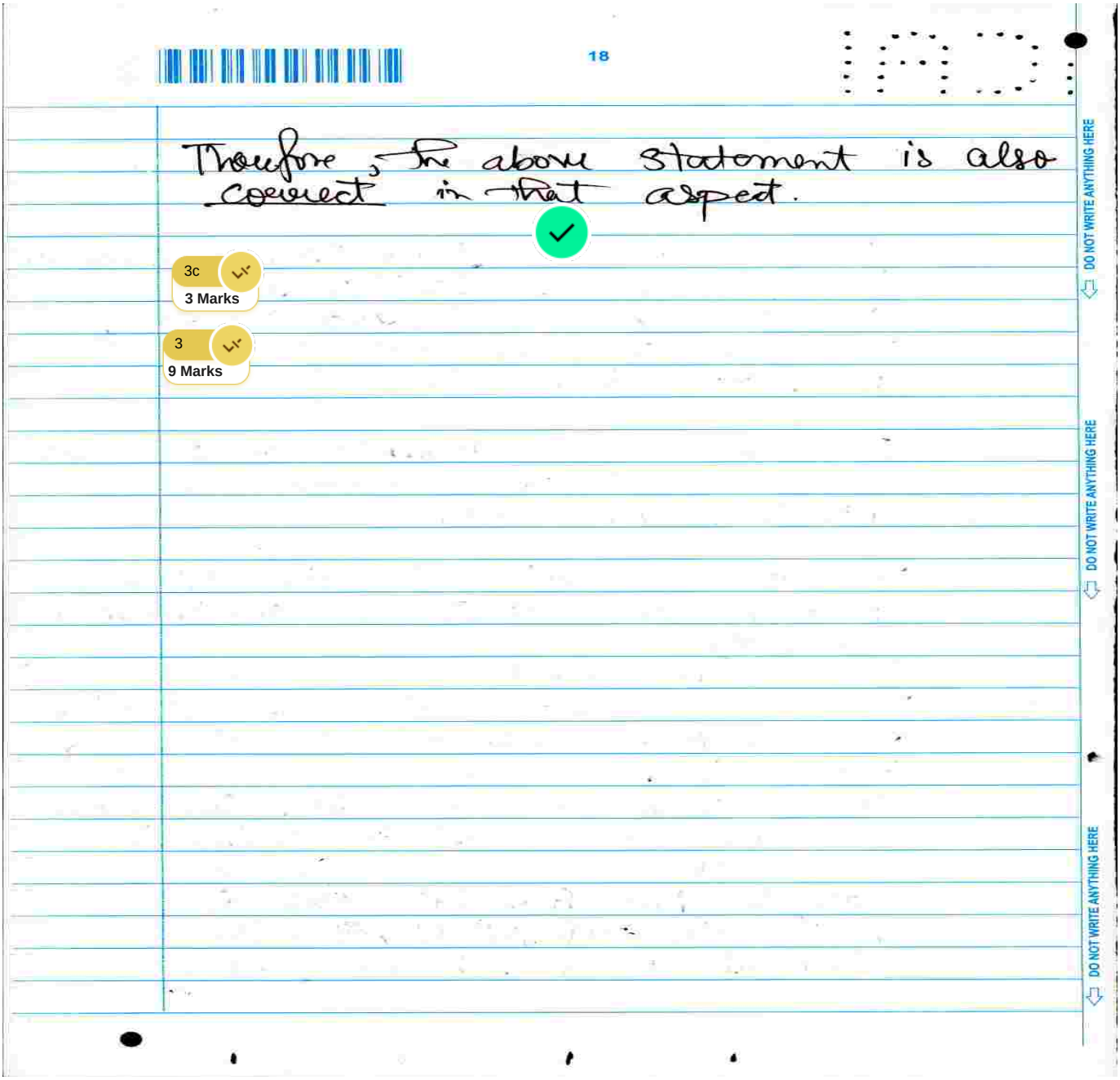
Inadequate Debt Market also causes lack of liquidity in case of Securitized papers.

The pricing of the Securitized papers is from originator & the investor perspective

It is very difficult to forecast the variables for valuation of the instrument. Yield curve, Average life, cash flows, etc. are some of the variables

3cStep1
3 Marks

Other drawbacks include issues related to Taxation, Accounting, Lack of Standardization, etc.


18
Therefore, the above statement is also correct in that aspect.
3c
3 Marks
3
9 Marks
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19

Answer 3a

Calculation of NPV of project based on unlevered COC

Year	Cash flow (€)	PVF	PV
0	-4000000	1	-4000000
1	2500000	0.893	2232500
2	2500000	0.797	1992500
			225000 (NPV)

It is assumed that unlevered COC is given as per EUROPE

NPV in ₹ = 90 X 225000
= 20,25,000

3aStep2
2 Marks

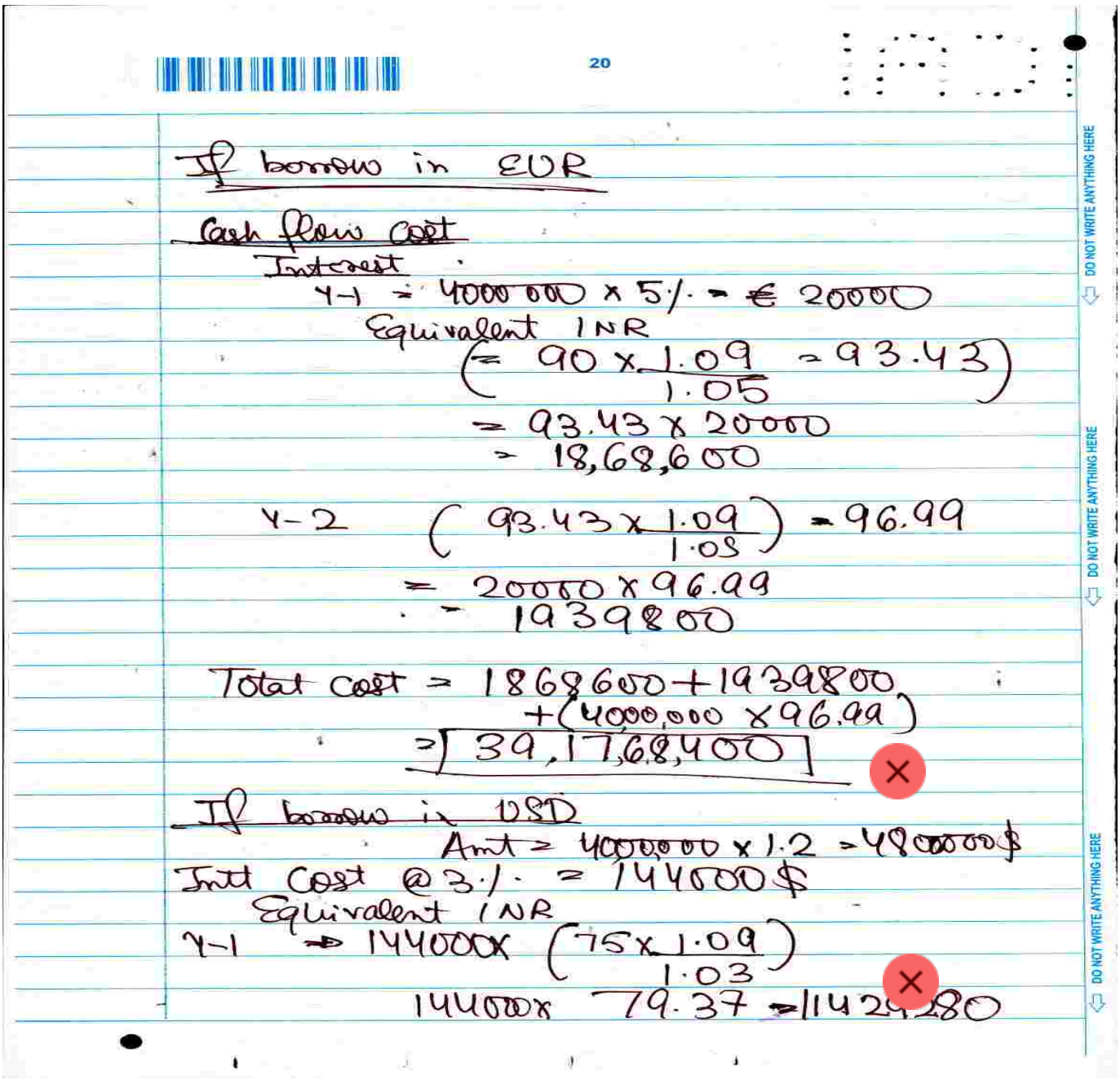
(i) If borrow from INR

Principal = € 40 lac x 90
= 3600 lac

Interest cost p.a. = 3600 x 9%
= 324 lacs

Total cost = 324 x 2 = 648 lacs

Total cost = 648 lac + ₹ 3600 lac
= 42,48,00,000



20

If borrow in EUR

Cash flows cost

Interest

Y-1 = 4000000 × 5% = € 20000

Equivalent INR

$\left(\frac{90 \times 1.09}{1.05} = 93.43\right)$

= 93.43 × 20000

= 18,68,600

Y-2 $\left(\frac{93.43 \times 1.09}{1.05}\right) = 96.99$

= 20000 × 96.99

= 1939800

Total cost = 1868600 + 1939800 + (4000,000 × 96.99)

= 39,17,68,400

If borrow in USD

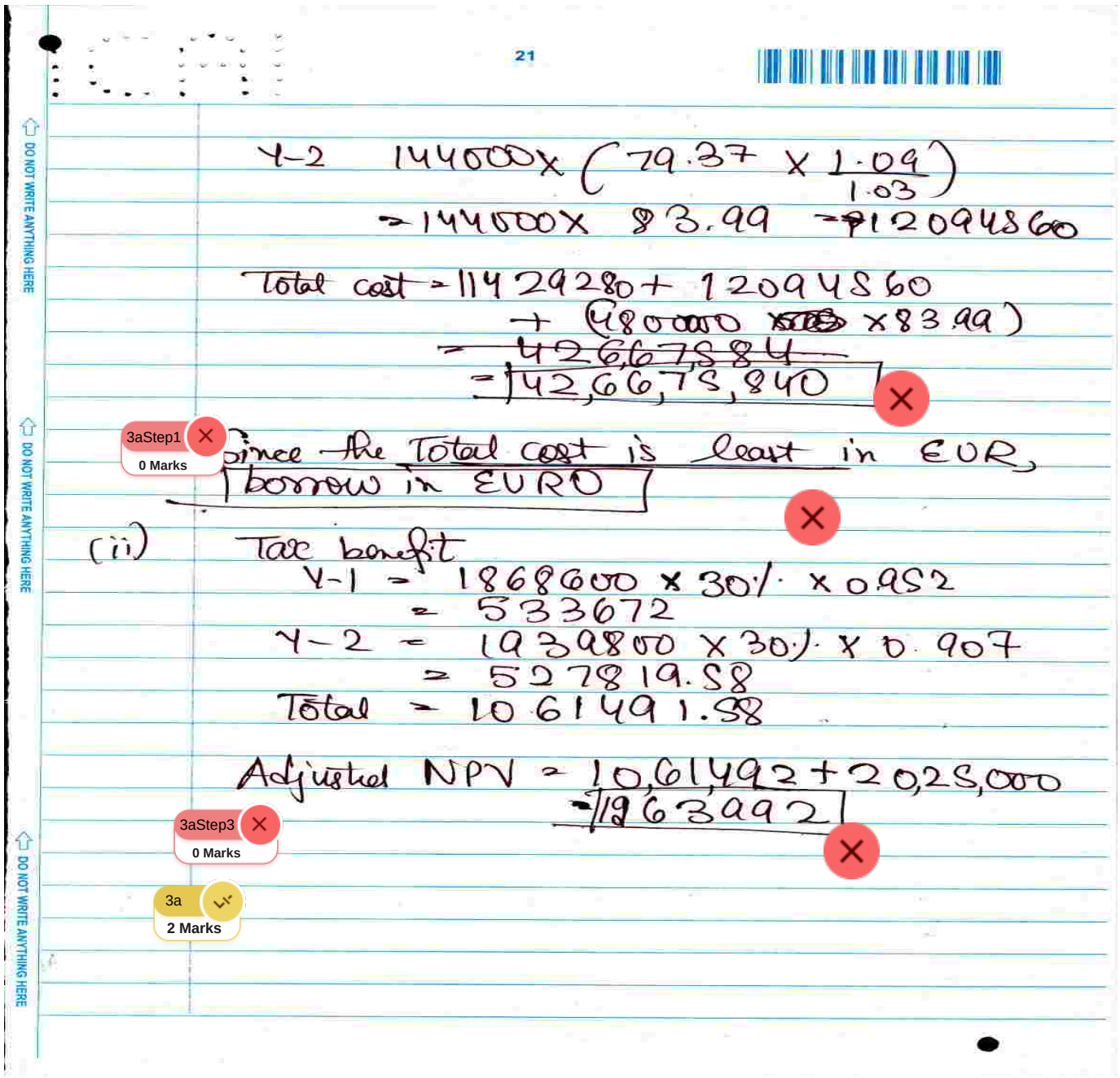
Amt = 4000000 × 1.2 = 4800000$

Intt Cost @3% = 144000$

Equivalent INR

Y-1 → $144000 \times \left(\frac{75 \times 1.09}{1.03}\right)$

144000 × 79.37 = 1142880



21

Y-2 $144000 \times \left(79.37 \times \frac{1.04}{1.03}\right)$

$= 144000 \times 83.99 = ₹12094560$

Total cost = 11429280 + 12094560

+ (480000 ~~xxx~~ × 83.99)

~~= 42667584~~

= 42,66,75,840 ×

3aStep1 ×
0 Marks

Since the Total cost is least in EUR, borrow in EURO ×

(ii) Tax benefit

Y-1 = 1868600 × 30% × 0.952

= 533672

Y-2 = 1939800 × 30% × 0.907

= 527819.58

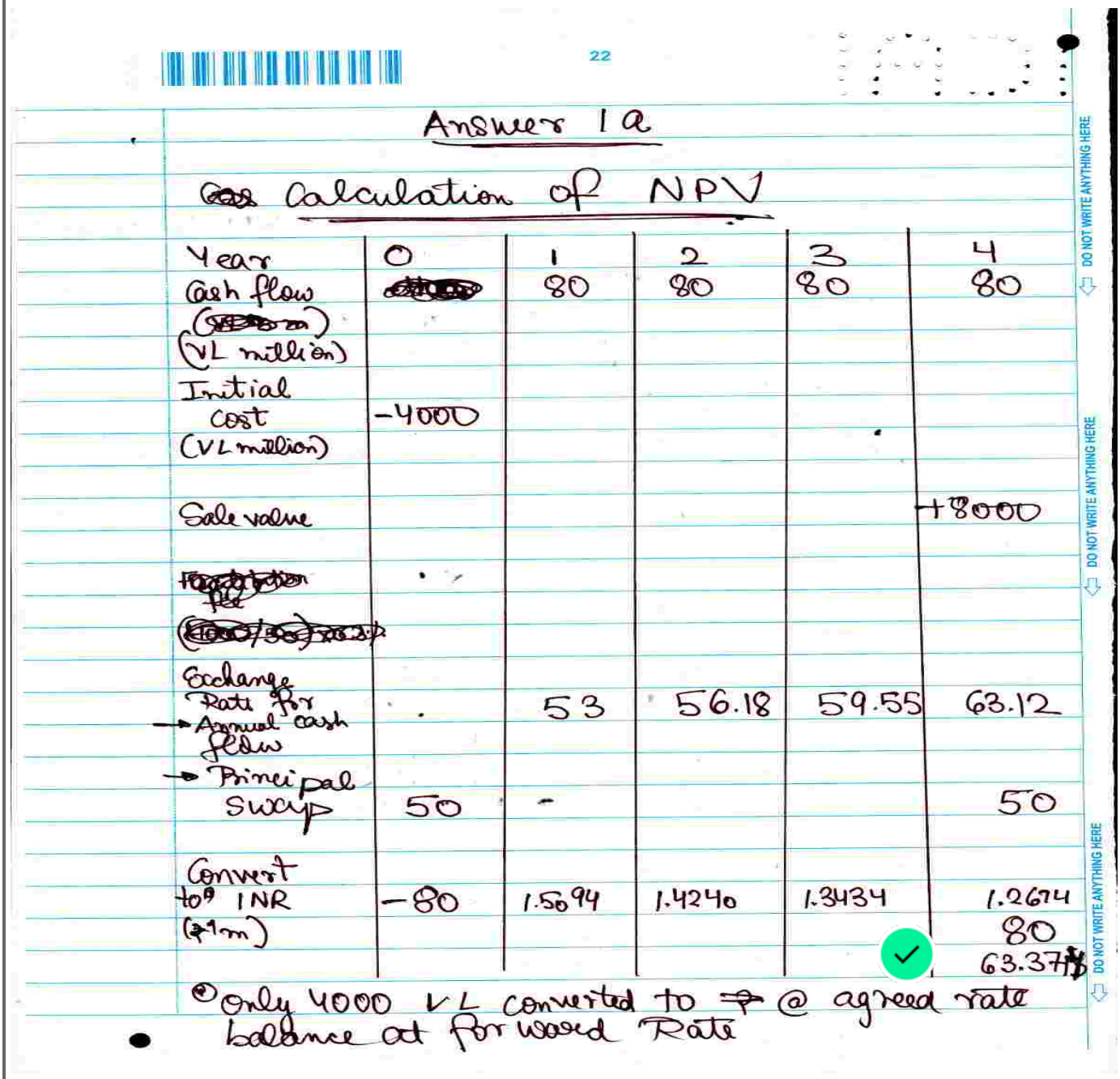
Total = 1061491.58

Adjusted NPV = 10,61,492 + 20,25,000

= ₹1963992 ×

3aStep3 ×
0 Marks

3a ✓
2 Marks



22

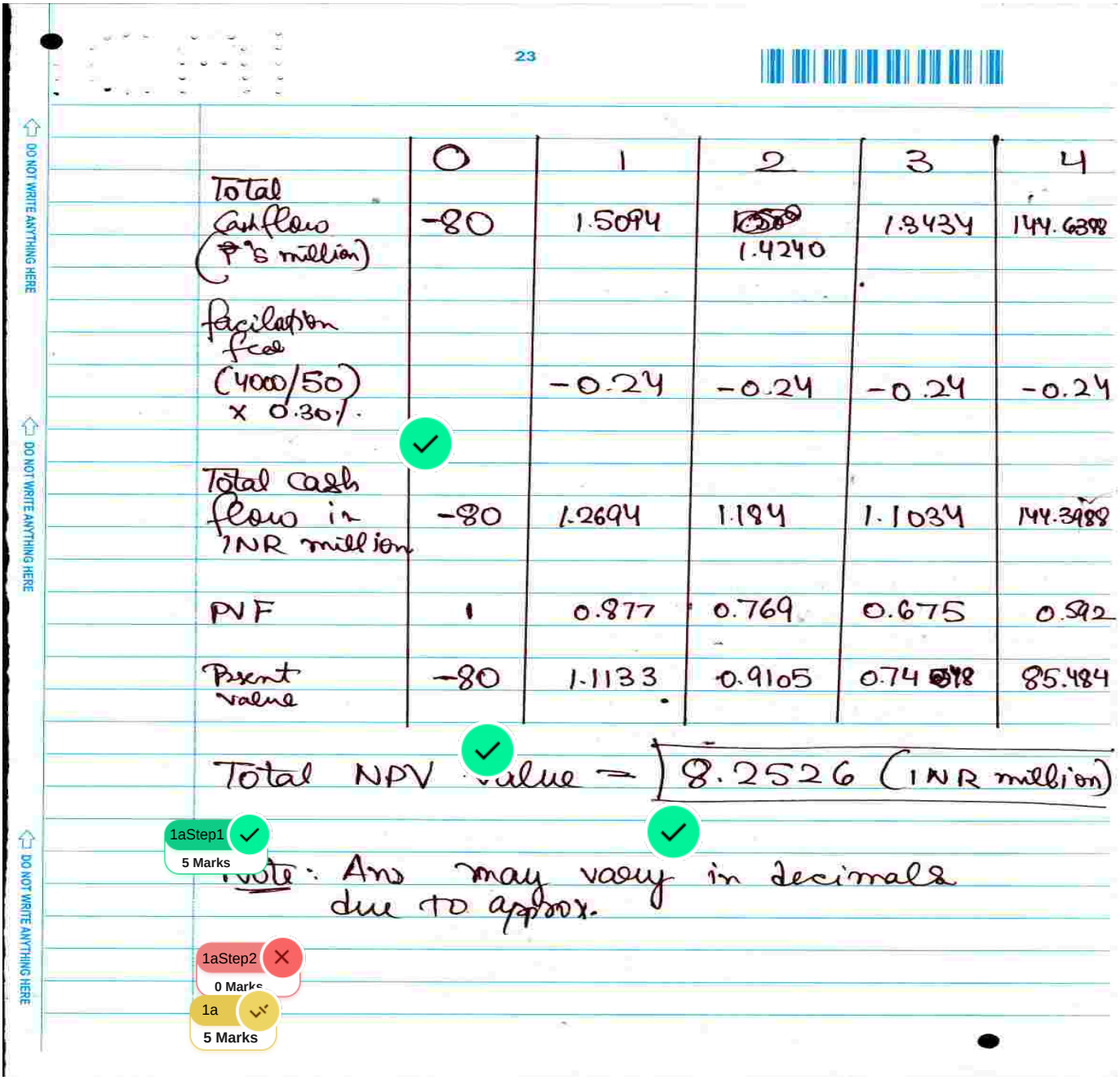
Answer 1a

Calculation of NPV

Year	0	1	2	3	4
Cash flow (VL million)		80	80	80	80
Initial cost (VL million)	-4000				
Sale value					+8000
Exchange Rate for → Annual cash flow		53	56.18	59.55	63.12
→ Principal swap	50	-			50
Convert to INR (₹m)	-80	1.594	1.4240	1.3434	1.2674
					80
					63.37

* Only 4000 VL converted to ₹ @ agreed rate balance at forward Rate

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23

	0	1	2	3	4
Total Cashflow (₹'s million)	-80	1.5094	1.4240	1.3434	144.6388
facilation fee (4000/50) x 0.30/.		-0.24	-0.24	-0.24	-0.24
Total cash flow in INR million	-80	1.2694	1.184	1.1034	144.3988
PVF	1	0.877	0.769	0.675	0.592
Present value	-80	1.1133	0.9105	0.7448	85.484

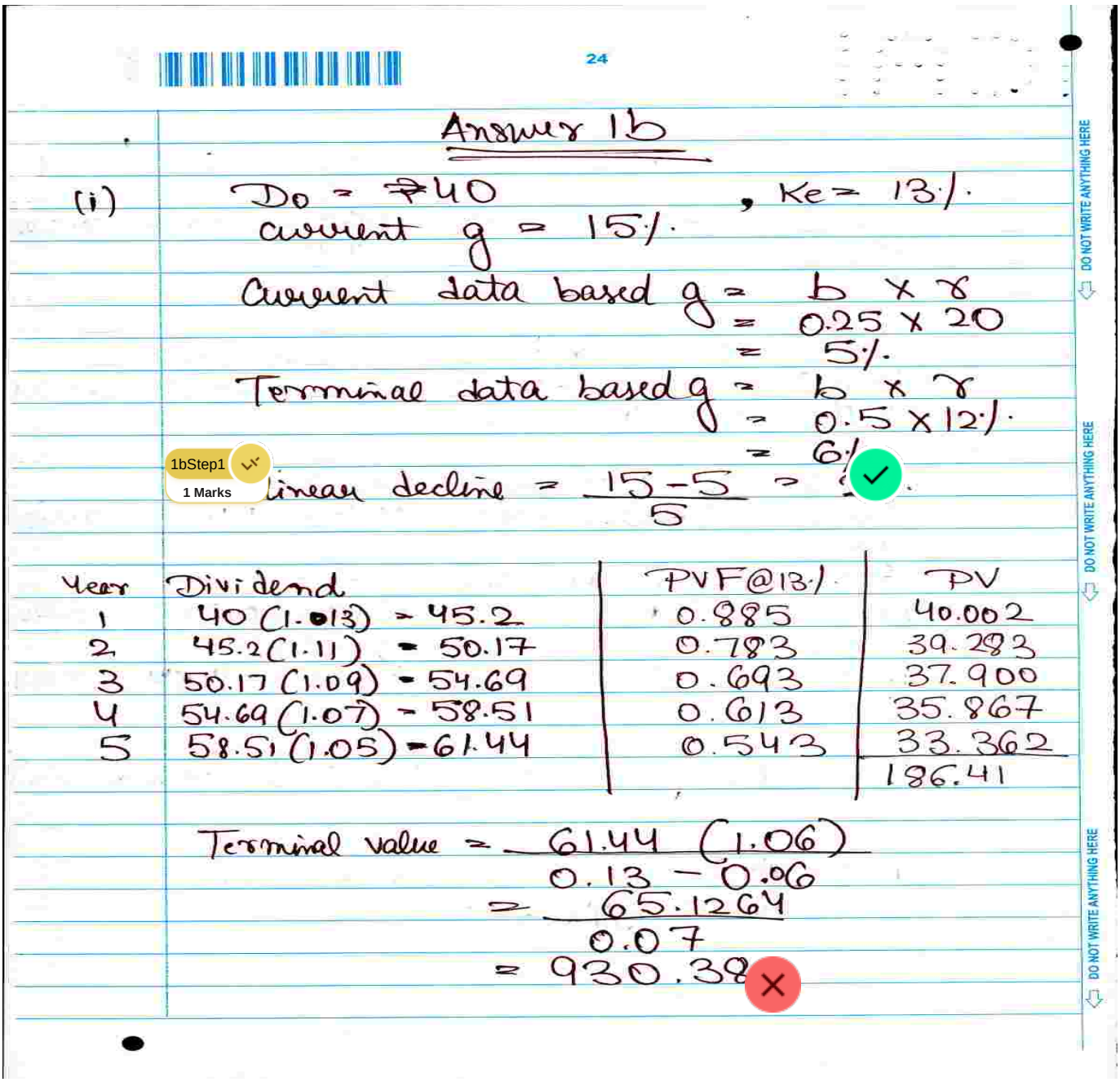
Total NPV value = 8.2526 (INR million)

Note: Ans may vary in decimals due to approx.

1aStep1 5 Marks

1aStep2 0 Marks

1a 5 Marks



24

Answer 1b

(i) D_0 = ₹40 , K_e = 13%.

Current g = 15%.

Current data based g = b × r
= 0.25 × 20
= 5%.

Terminal data based g = b × r
= 0.5 × 12%.
= 6%

1bStep1 1 Marks

Linear decline = $\frac{15-5}{5}$ = 2.

Year	Dividend	PVF@13%	PV
1	40 (1.013) = 45.2	0.885	40.002
2	45.2 (1.11) = 50.17	0.783	39.283
3	50.17 (1.09) = 54.69	0.693	37.900
4	54.69 (1.07) = 58.51	0.613	35.867
5	58.51 (1.05) = 61.44	0.543	33.362
			186.41

Terminal value = $\frac{61.44\ (1.06)}{0.13-0.06}$

= $\frac{65.1264}{0.07}$

= 930.38

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25

PV of Terminal value = 930.38
× 0.543
= 505.19

Intrinsic value as per H-Model
= 505.19 + 186.41
= 691.60 (approx.)

(ii) CMP = ₹850

It is [overpriced] since the Intrinsic value is less than CMP.

Percentage of deviation = $\frac{850 - 691.60}{691.60}$
= 22.90%

1b
1 Marks

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26

Answer 1C

Current g = 10%
Aim g = 16%
D/E = 2.5 : 1
Inflation = 5%

As per sustainable growth rate concept (SGR), the two objectives for achieving the g rate is

→ Growth objective
→ Growth capability

Given the debt equity ratio; the growth rate (sustainable) will decline with increase in inflation given the D/E ratio.

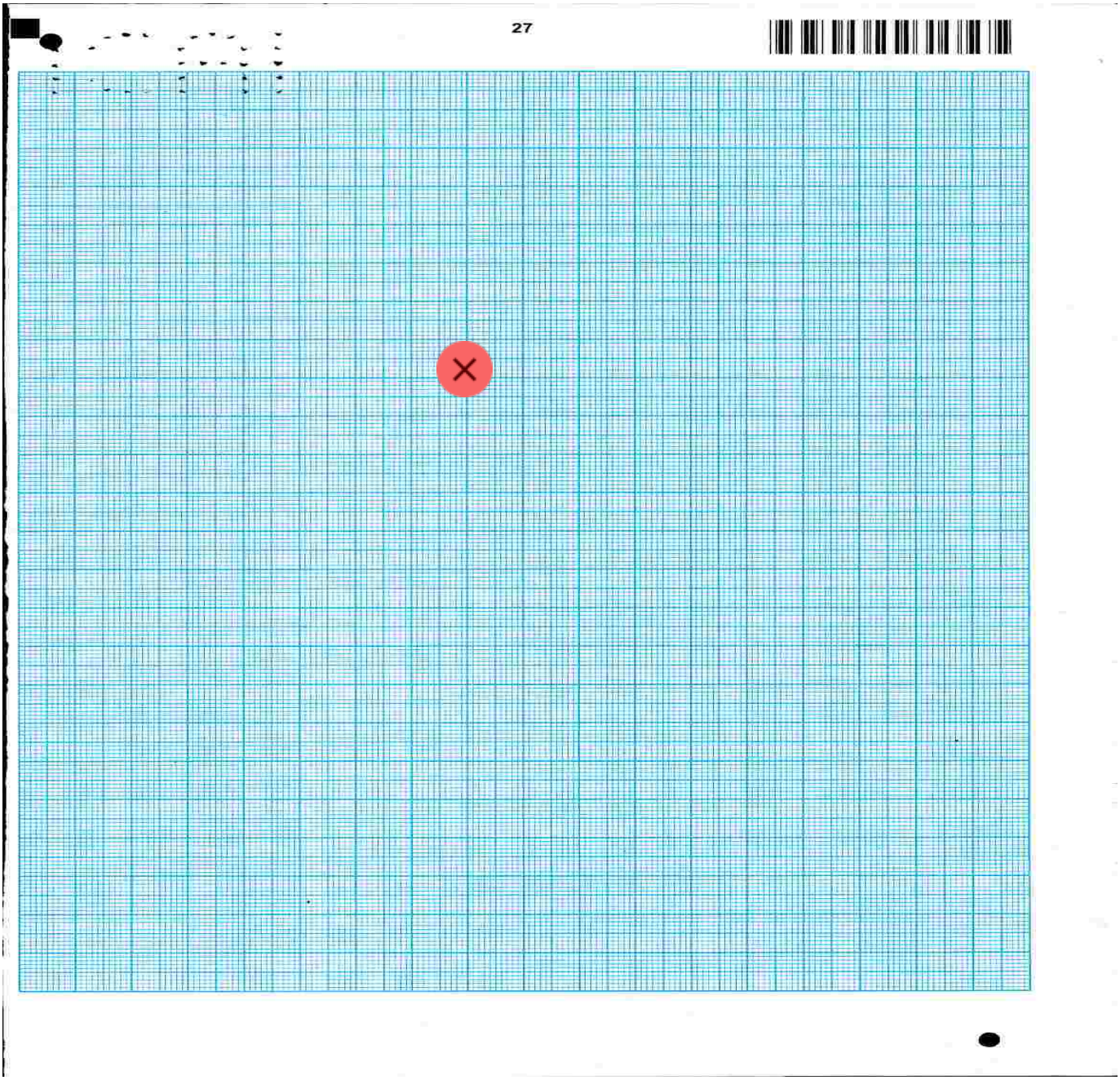
1cStep1 1 Marks

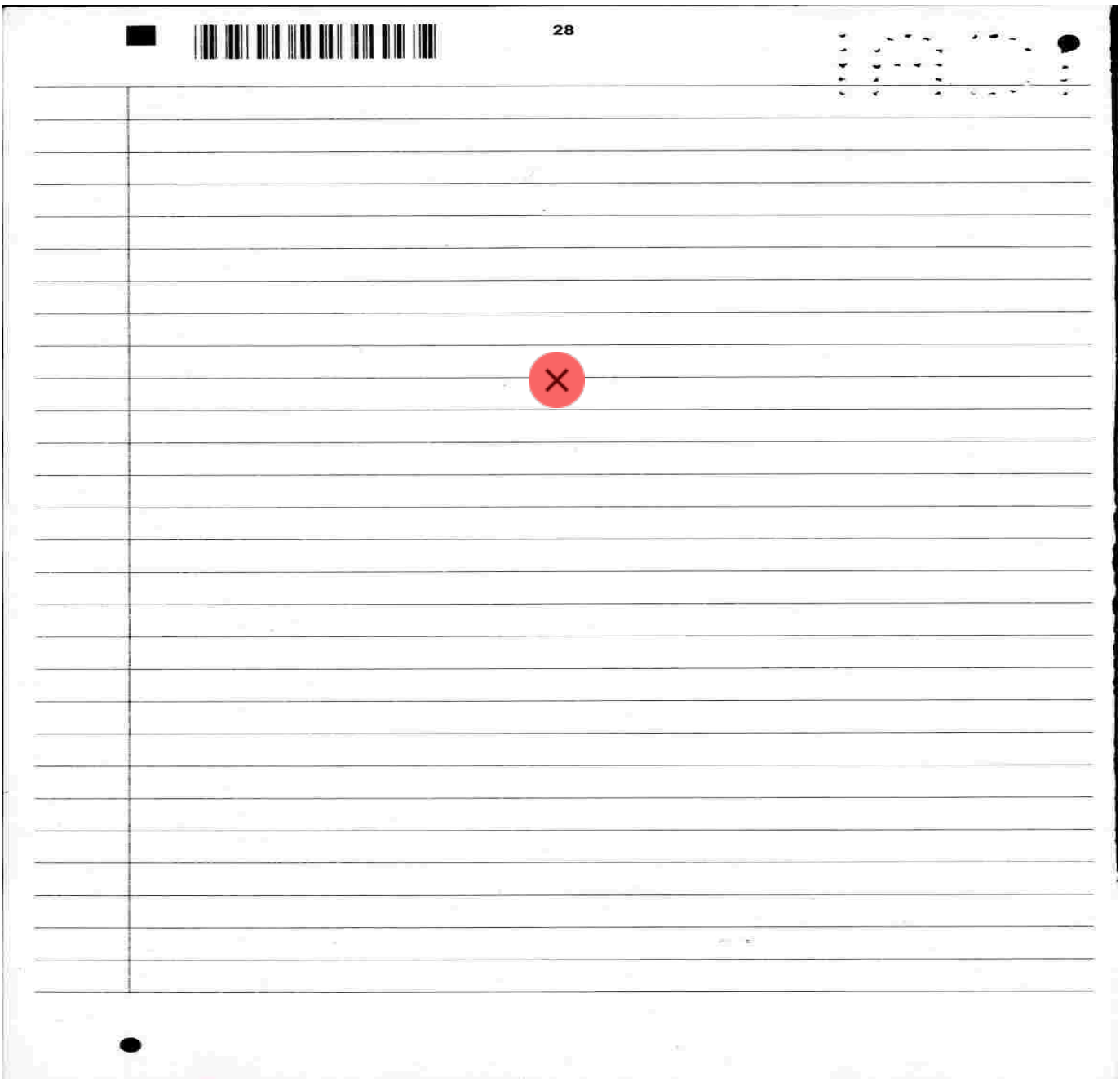
This does not align with the growth objective of the MTL.

To achieve the growth objective sustainably; following alternative course of action is recommended:

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Code:	FN2AF876888	**Total Marks:**	70
Subject :	02 Advanced Financial Management	**Marks Obtained :**	51




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04 MAY 2026

2876888-01

Addl. Book No. .....

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA
ADDL. BOOK

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→ Acquire high growth entities in the industry so the sustainable growth can be increased.

→ Increase the Retention ratio so that funds are available internally to achieve the growth objective

1c LI
1 Marks

1 LI
7 Marks

2

Answer 4 a

(i)

Security	Treynor Ratio (ER - Rf) ÷ B
A	(17-6) ÷ 1.4 = 7.857
B	(15-6) ÷ 1.1 = 8.182
C	(13-6) ÷ 0.9 = 7.778
D	(11-6) ÷ 0.6 = 8.33

$C^* = 7.95$

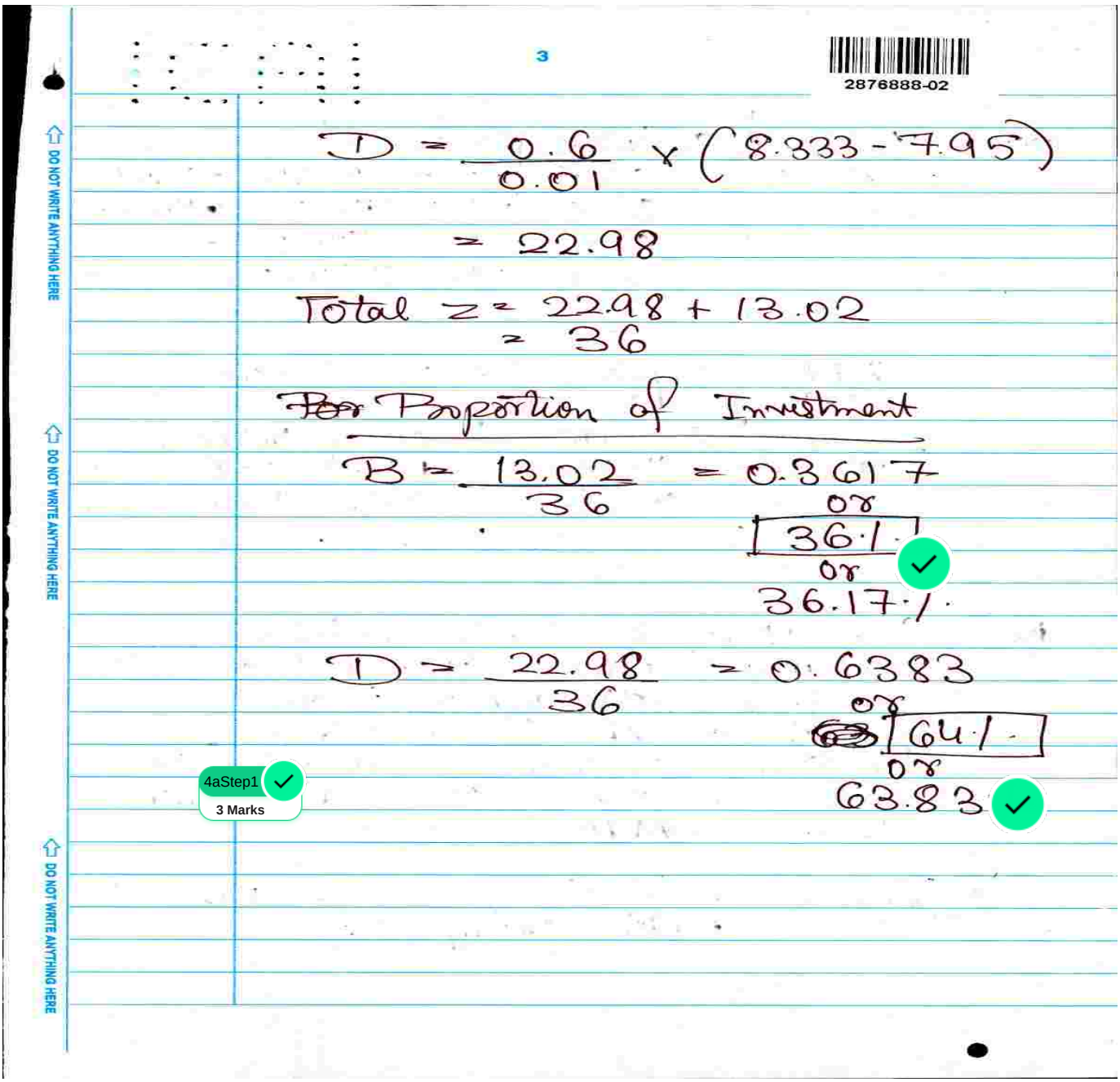
Securities Selected based on C^* & the Treynor Ratios are B and D (being TR > C^*)

(ii) $$Z = \frac{B}{USR} \times (TR - C^*)$$

$$B \Rightarrow \frac{1.1}{0.0196} \times (8.182 - 7.95)$$

$$= 13.02$$

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3

2876888-02

$$D = \frac{0.6}{0.01} \times (8.333 - 7.95)$$

$$= 22.98$$

Total $Z = 22.98 + 13.02$

$= 36$

~~For~~ Proportion of Investment

$$B = \frac{13.02}{36} = 0.3617$$

or

36.1 %

or

36.17 %

$$D = \frac{22.98}{36} = 0.6383$$

or

64 %

or

63.83

4aStep1

3 Marks

4

(iii)

Security	ER(Rf + β x (Rm - Rf))
A	6% + (1.4 x (14-6)) = 17.2%
B	6 + (1.1 x (14-6)) = 14.8% ✓
C	6 + (0.9 x (14-6)) = 13.2%
D	6 + (0.6 x (14-6)) = 10.8% ✓

CAPM Expected Return for Selected Security

	ER(CAPM)	AR	Valued
B =	14.8%	15%	Undervalued
D =	10.8%	11%	Undervalued

(iv) Since Portfolio constructed using Sharpe's Model is based on Treynor Ratio (which is based on variables like β and Rf), the same variables are used to calculate the Expected Return as per CAPM.

Therefore, the Portfolio is ✓ consistent with CAPM assumptions

4aStep2 ✓ 3 Marks

4a ✓ 6 Marks

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Answer 4C (Alternative - 1)

Elliot Wave Theory

The theory is based on Technical Analysis which states Market discounts everything & the price is moved in patterns.

The movement of price can be predicted from the charts & patterns of the stock & market

To speculate & earn profit, the chart & pattern can be used to predict waves of the Theorem which are as follows:

2

→ Impulsive (wave) : Basic wave

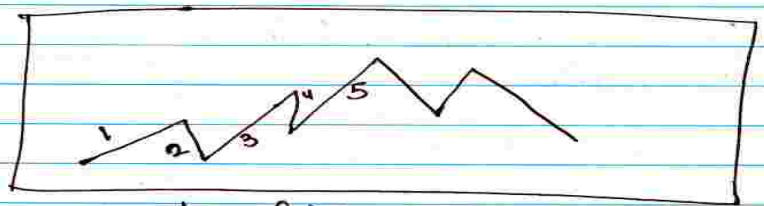
It generally depicts the pattern in which market is expected to move.
It contains 3-5 waves to predict which Trend follows.

→ Corrective wave : Reaction waves

After the Impulsive waves, the 1-3 waves are for the corrective waves which form the base of the Trend.

4cStep1
3 Marks

Example :

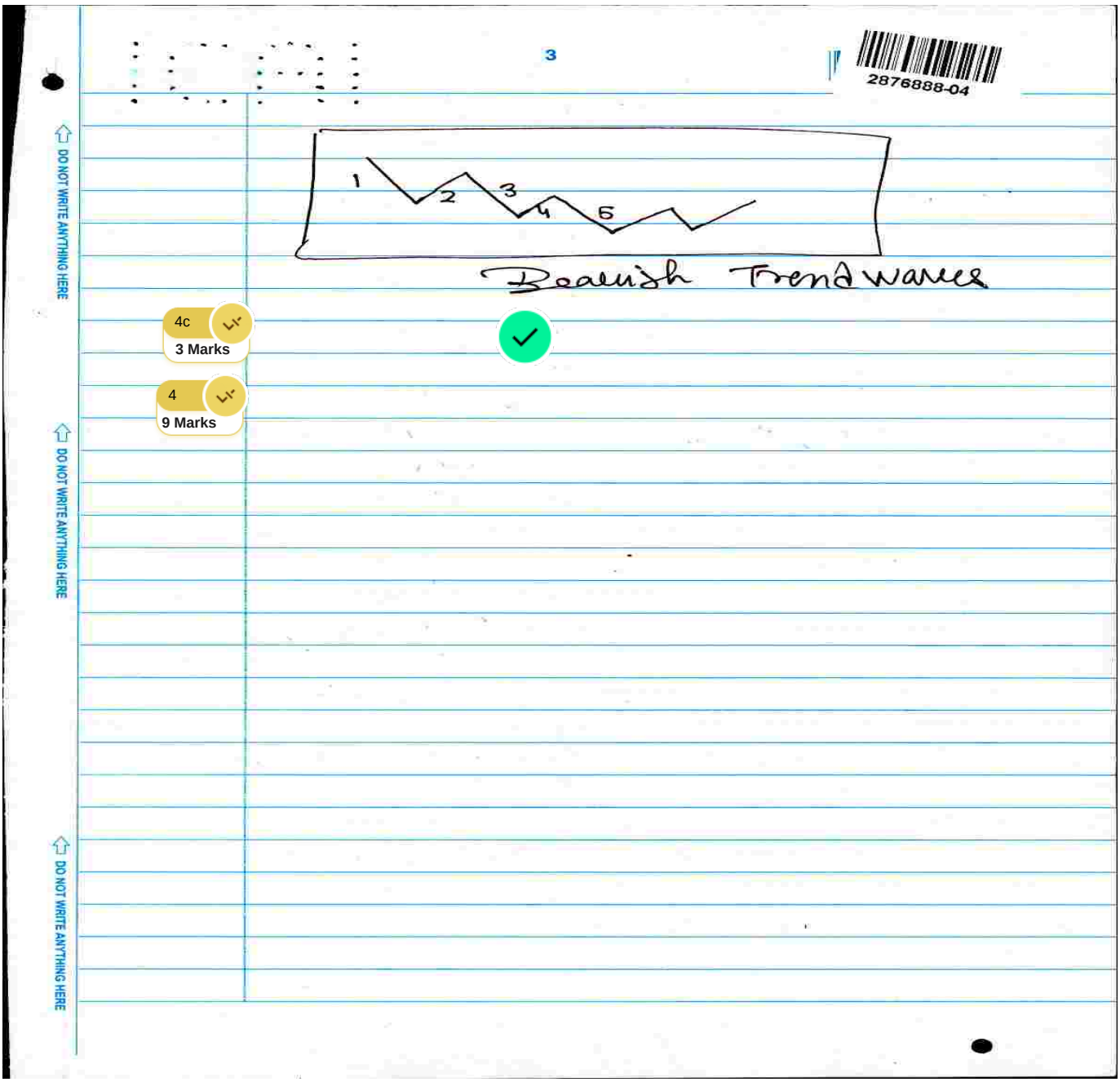


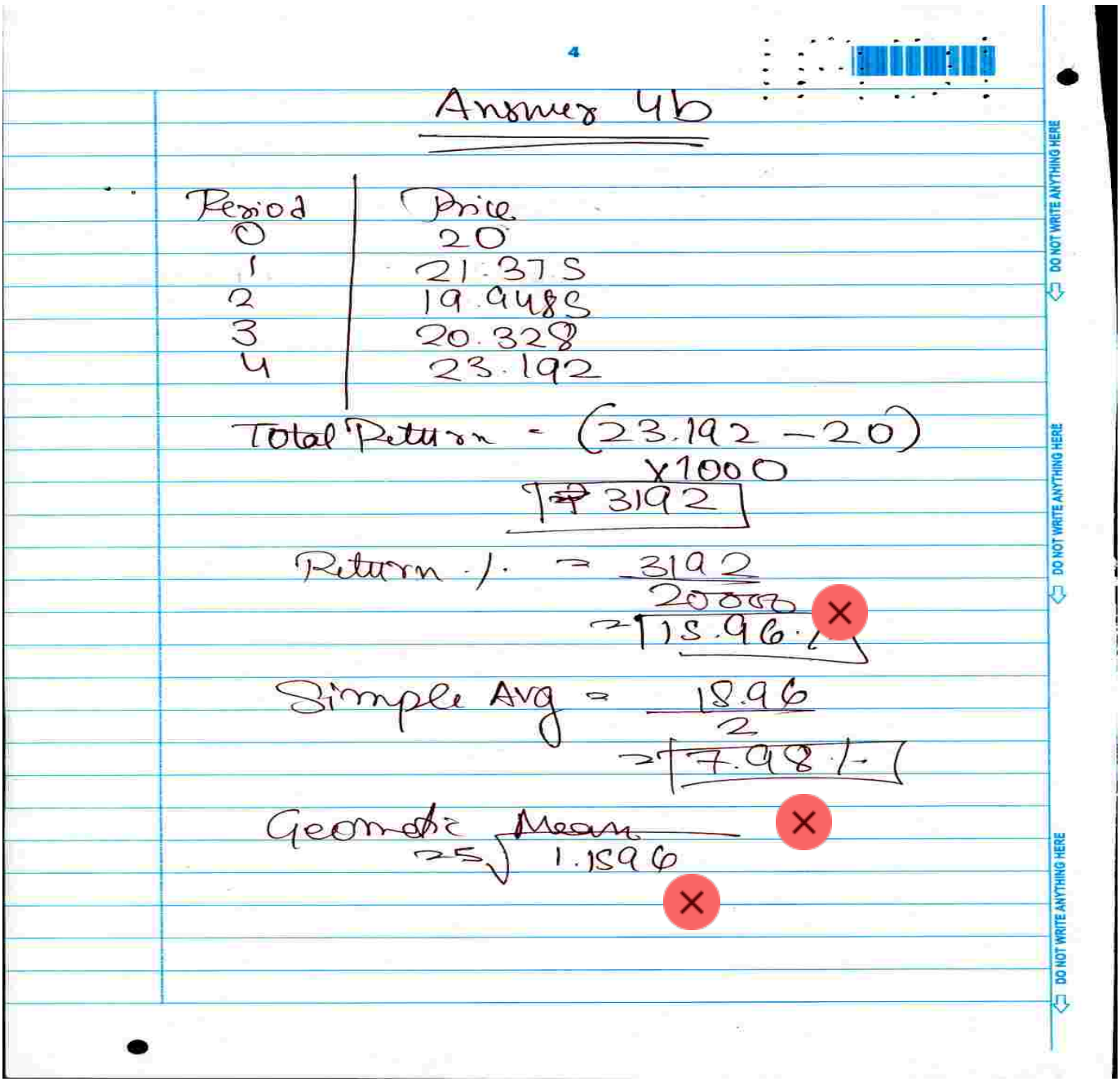
bullish Trend waves

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3
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1
2
3
4
5
6
Bearish Trend waves
4c
3 Marks
4
9 Marks
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4

Answer 4b

Period	Price
0	20
1	21.375
2	19.948
3	20.328
4	23.192

Total Return = (23.192 − 20) × 1000

= ₹ 3192

Return % = 3192 / 20000

= 15.96 %

Simple Avg = 18.96 / 2

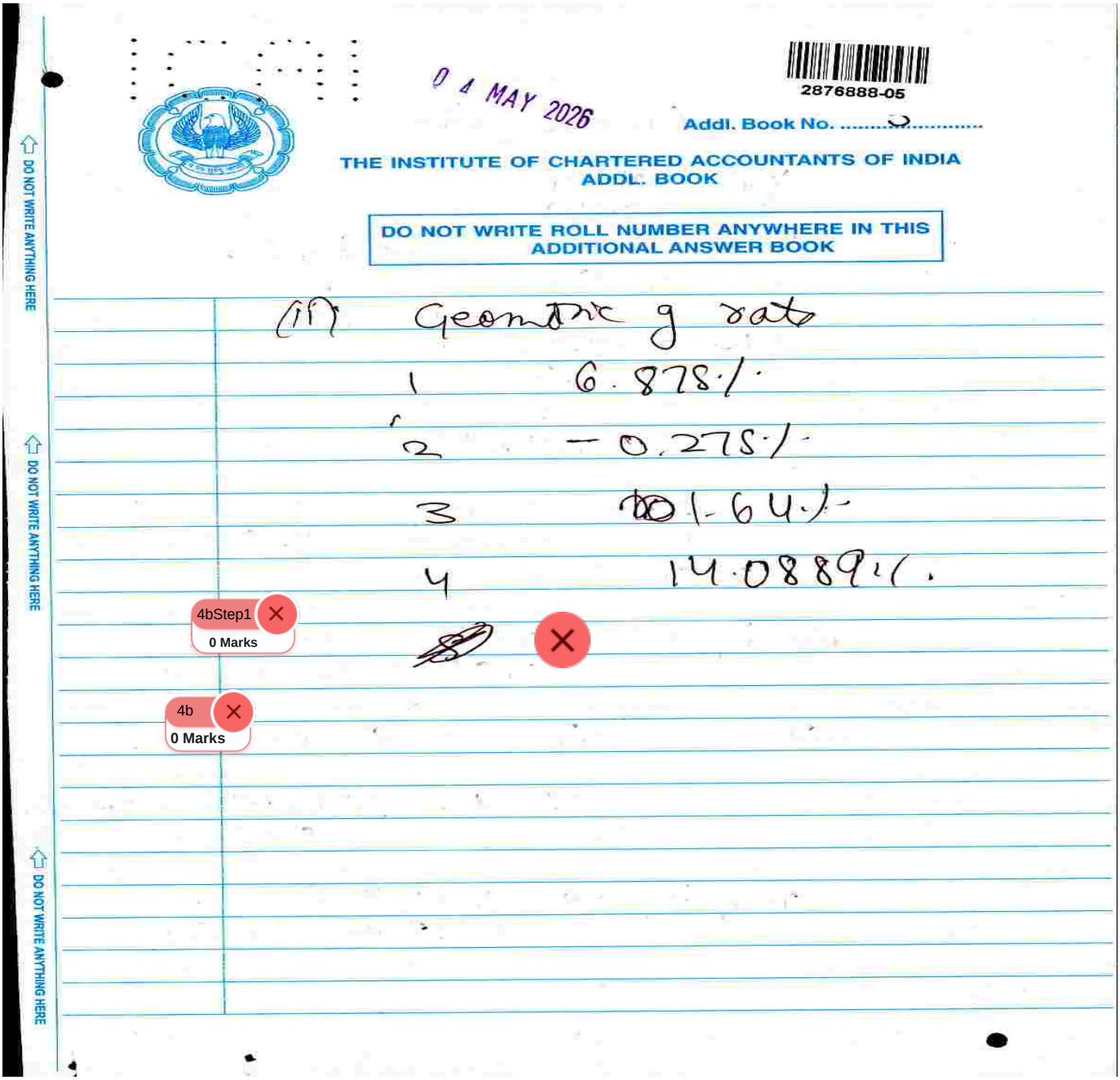
= 7.98 %

Geometric Mean

$= \sqrt[5]{1.1596}$

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Code: FN2AF876888 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 51



2876888-05

04 MAY 2026

Addl. Book No. ..... 2 .....

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(ii) Geometric g rate

1 6.878%

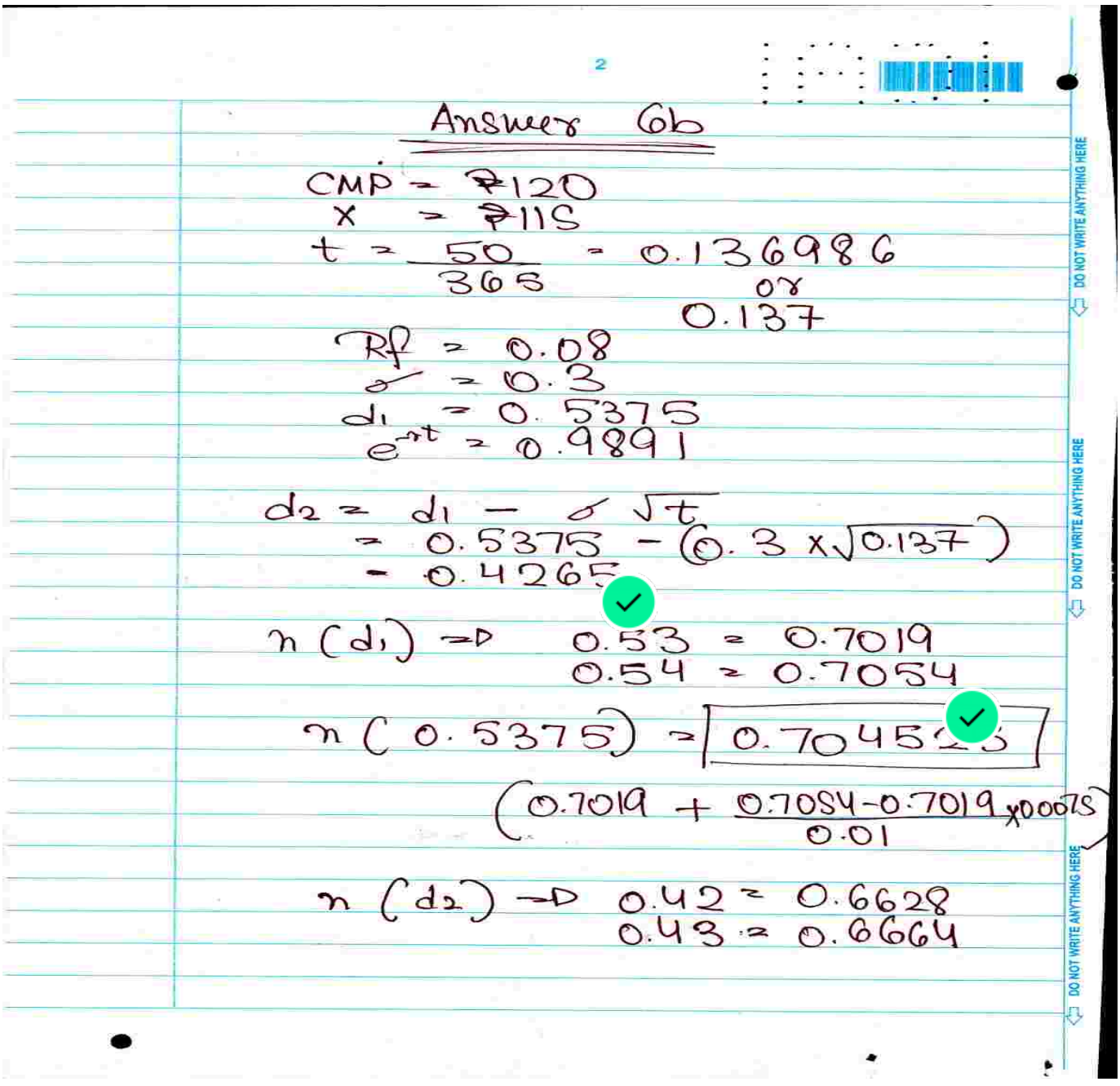
2 −0.278%

3 1.64%

4 14.0889%

4bStep1 ✗
0 Marks

4b ✗
0 Marks



2

Answer 6b

CMP = ₹120
X = ₹115
$t = \frac{50}{365} = 0.136986$ or 0.137

$R_f = 0.08$
$\sigma = 0.3$
$d_1 = 0.5375$
$e^{-rt} = 0.9891$

$d_2 = d_1 - \sigma\sqrt{t}$
$= 0.5375 - (0.3 \times \sqrt{0.137})$
$= 0.4265$

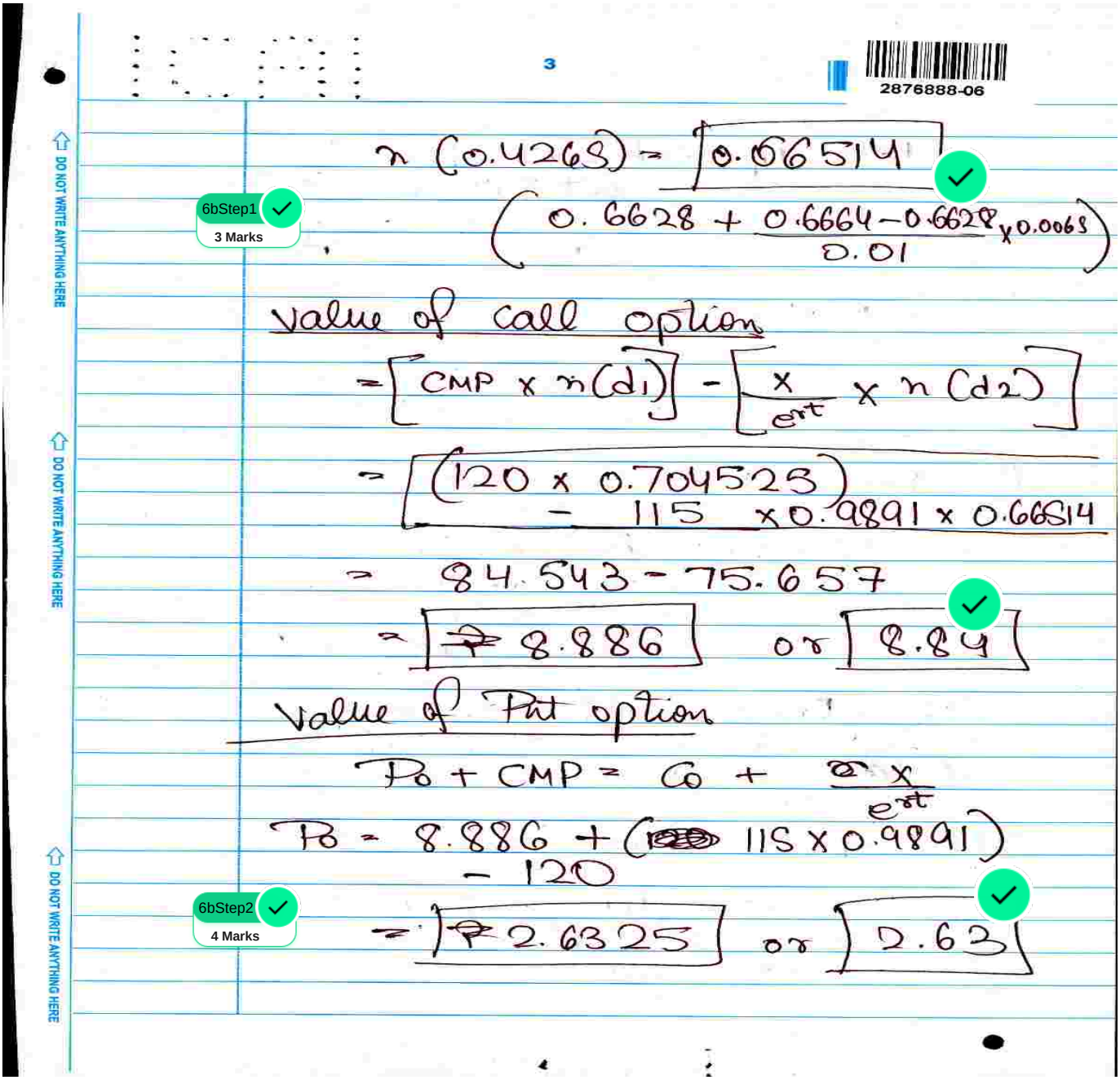
$n(d_1) \rightarrow$ 0.53 = 0.7019
0.54 = 0.7054

$n(0.5375) =$ 0.704525

$\left(0.7019 + \frac{0.7054 - 0.7019}{0.01} \times 0.0075\right)$

$n(d_2) \rightarrow$ 0.42 = 0.6628
0.43 = 0.6664

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3

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$n(0.4268) = 0.66514$

$\left(0.6628 + \frac{0.6664 - 0.6628}{0.01} \times 0.0068\right)$

6bStep1 ✓ 3 Marks

Value of call option

$= [CMP \times n(d_1)] - \left[\frac{X}{e^{rt}} \times n(d_2)\right]$

$= [(120 \times 0.704523) - 115 \times 0.9891 \times 0.66514]$

$= 84.543 - 75.657$

$= ₹ 8.886$ or 8.89

Value of Put option

$P_0 + CMP = C_0 + \frac{X}{e^{rt}}$

$P_0 = 8.886 + (115 \times 0.9891) - 120$

6bStep2 ✓ 4 Marks

$= ₹ 2.6325$ or 2.63

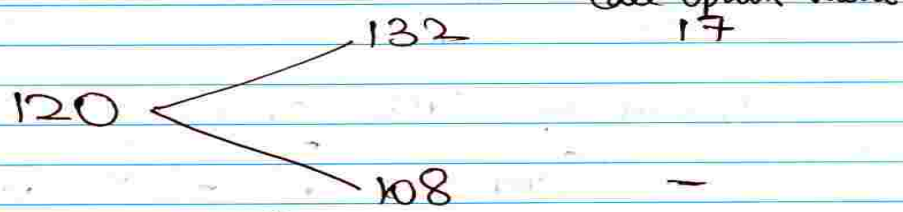
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4

Let Upward price be 132
downward price be 108



(i) Hedge Ratio

$$\text{Delta} = \frac{\Delta \text{ Option Price}}{\Delta \text{ Stock Price}} = \frac{17-0}{132-108} \Rightarrow \boxed{\frac{17}{24}} = 0.7083$$

Buy 0.7083 shares for every 1 call written

(ii)

$$p = \frac{s-d}{u-d} = \frac{1.08-0.9}{1.1-0.9} = 0.9$$

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04 MAY 2020 Addl. Book No. .....

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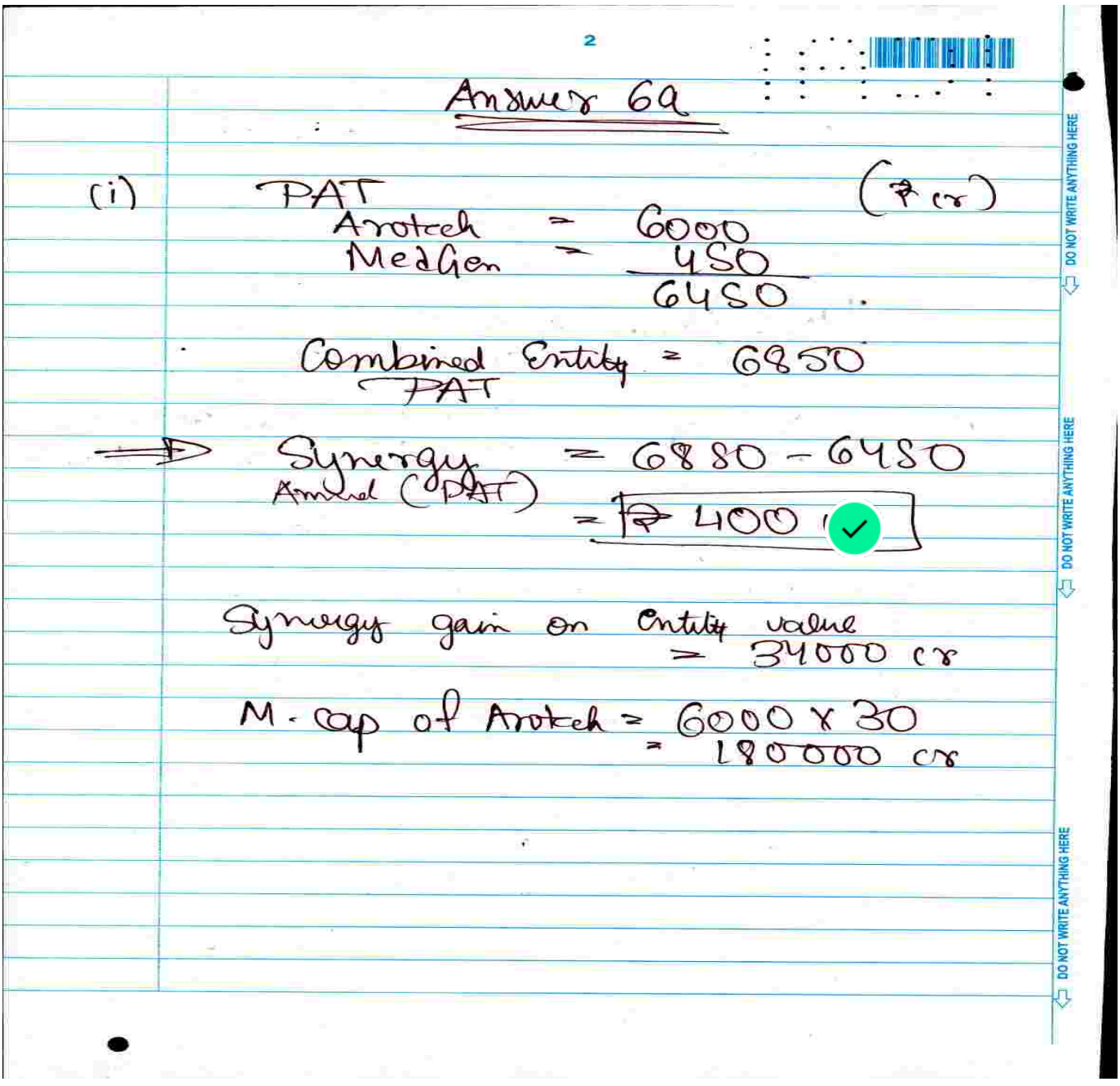
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10% Prob. that X will be lower of spot price

(iii) Call option = ₹ 8.89 or ₹ 8.886
Put option = ₹ 2.63 or ₹ 2.6325

6b
7 Marks



2

Answer 6a

(i) PAT (₹ cr)

Arotech = 6000
MedGen = 450
6450

Combined Entity PAT = 6880

⇒ Synergy Amount (PAT) = 6880 − 6450
= ₹ 400 cr

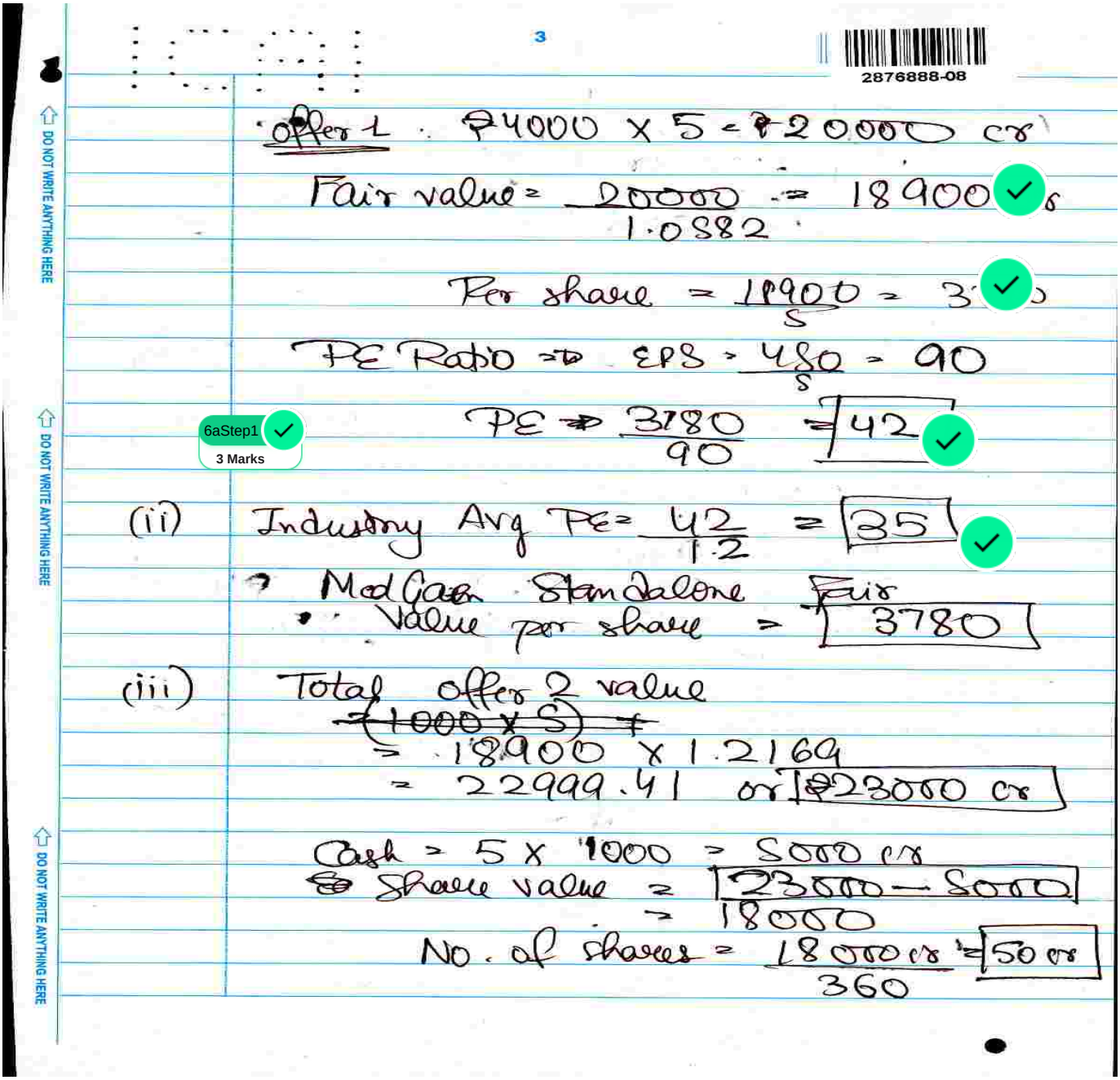
Synergy gain on Entity value = 34000 cr

M. Cap of Arotech = 6000 × 30
= 180000 cr

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3

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Offer 1 : ₹4000 × 5 = ₹20000 cr

Fair value = $\frac{20000}{1.0582}$ = 18900 cr

Per share = $\frac{18900}{5}$ = 3780

PE Ratio ⇒ EPS = $\frac{480}{5}$ = 90

PE ⇒ $\frac{3780}{90}$ = 42

6aStep1
3 Marks

(ii) Industry Avg PE = $\frac{42}{1.2}$ = 35

Mod Gas Standalone Fair value per share = 3780

(iii) Total offer 2 value

~~(1000 × 5) ₹~~

= 18900 × 1.2164

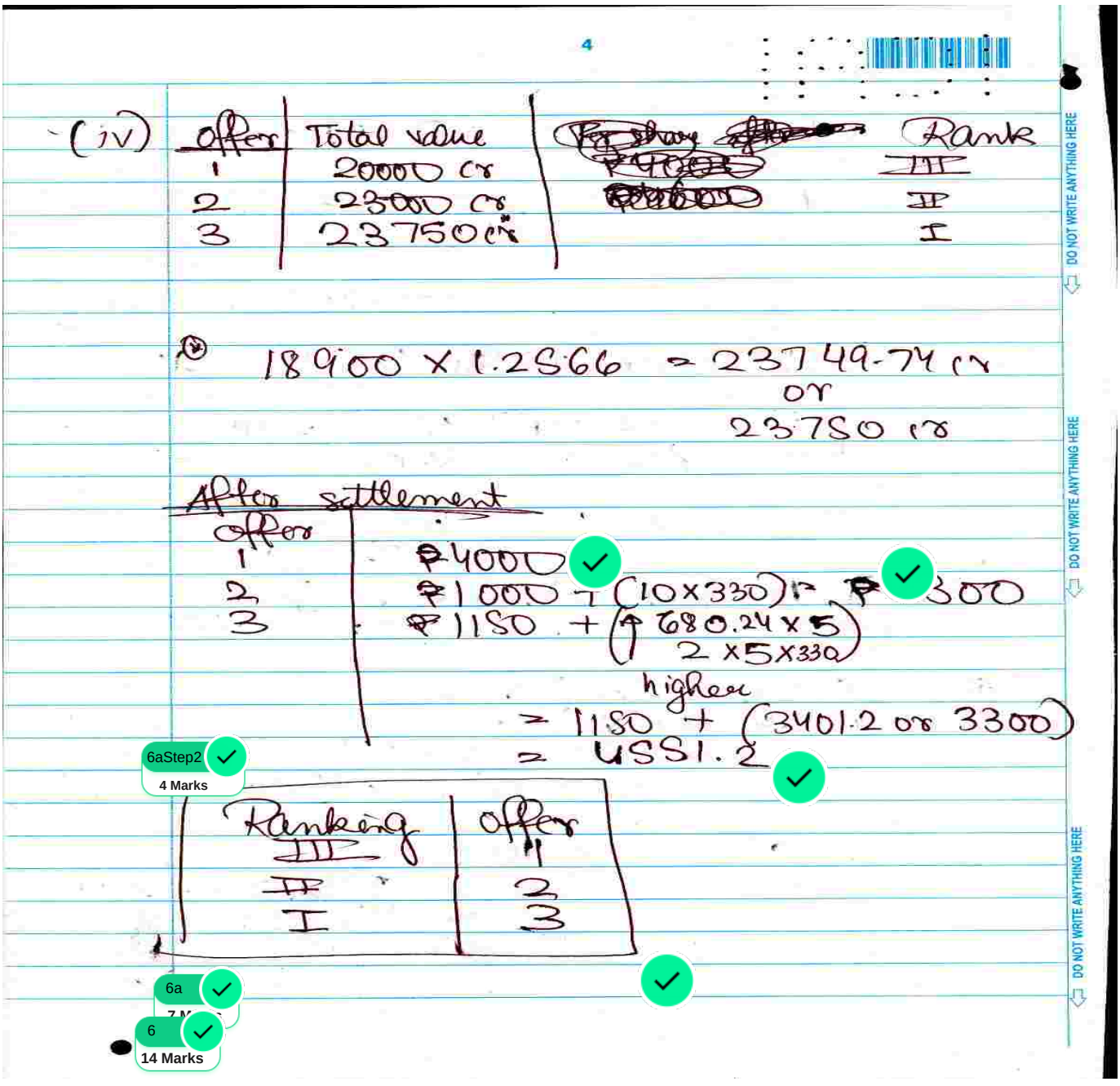
= 22999.41 or ₹23000 cr

Cash = 5 × 1000 = 5000 cr

Share value = 23000 − 5000

= 18000

No. of shares = $\frac{18000 \text{ cr}}{360}$ = 50 cr



(iv)

Offer	Total value	Rank
1	20000 cr	III
2	23500 cr	II
3	23750 cr	I

(v) 18900 × 1.2566 = 23749.74 cr
or
23750 cr

After settlement

Offer	
1	₹4000
2	₹1000 + (10×330) = ₹300
3	₹1150 + (680.24×5 / 2×5×330) higher

= 1150 + (3401.2 or 3300)
= US$1.2

6aStep2 4 Marks

Ranking	Offer
III	1
II	2
I	3

6a

6 14 Marks

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Code: FN2AF876888 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 51

Result Overview

Awarded Marks:51	Max Marks:70

Not Attempted	Optional	M Marked

Q1_Compulsory (Score: 7/14)

Question No	Awarded Marks	Maximum Marks	Status
1	7	14	M
1a	5	6	M
1b	1	4	M
1c	1	4	M

Q2_Q6 (Score: 44/56)

Question No	Awarded Marks	Maximum Marks	Status
2	12	14	M
2a	5	6	M
2b	3	4	M
2c	4	4	M
3	9	14	M
3a	2	6	M

3b	4	4	M
3c	3	4	M
4	9	14	M
4a	6	6	M
4b	0	4	M
4c	3	4	M
5	0	14	♈
5a	0	5	♈
5b	0	7	♈
5c	0	2	♈
6	14	14	M
6a	7	7	M
6b	7	7	M